

24AVCV00208 24AVCV00208

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Case Number: 24AVCV00208 Hearing Date: August 25, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

EFREN GUZMAN, an individual,

Plaintiff,

v.

H.W. HUNTER, INC., a California Corporation dba HUNTER DODGE CHRYSLER JEEP RAM; FCA US LLC, a Delaware Limited Liability Company; and DOES 1 through 10, inclusive,

Defendants.

Case Number 24AVCV00208

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: August 25, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a Song-Beverly action arising from Defendants' alleged violation of the Song-Beverly Consumer Warranty Act (Song-Beverly Act). Plaintiff moves the Court for an award of attorney's fees and costs following settlement of the case.

On February 21, 2024, Plaintiff Efren Guzman (Plaintiff) filed a complaint against Defendants H.W. Hunter, Inc. dba Hunter Dodge Chrysler Jeep Ram (Hunter) and FCA US, LLC (FCA) (together Defendants), asserting three causes of action for (1) Violation of the Song-Beverly Act for Breach of Express Warranty, (2) Violation of the Song-Beverly Act for Breach of Implied Warranty, and (3) Negligent Repair.

Specifically, Plaintiff alleges that FCA entered into a written warranty contract with Plaintiff, including a bumper-to-bumper warranty, a powertrain warranty, and an emissions warranty after Plaintiff's purchase of the subject vehicle (Vehicle) from one of FCA's authorized dealerships on November 9, 2022. (Compl., ¶¶ 8, 27, 41.) Plaintiff asserts that defects and nonconformities to warranty manifested themselves within the applicable express warranty period which substantially impaired the use, value, and safety of the vehicle, and that on delivery of the Vehicle to an authorized FCA repair facility, Defendants were unable to conform the Vehicle to warranty after a reasonable number of repair attempts or within a reasonable amount of time. (Compl., ¶¶ 29-32.) Plaintiff asserts that Defendants violated the Song-Beverly Act by failing to promptly offer to repurchase or replace the Vehicle. (Compl., ¶¶ 33-34.)

On March 22, 2024, FCA answered the complaint.

On July 3, 2024, FCA moved to disqualify Plaintiff's counsel Logan Hensley and The Lemon Daddy aka Drake Law on the grounds that Hensley had spent the past 1.5 years defending FCA, then moved to Drake Law Firm immediately after his resignation, which was presently suing FCA in the very matter he was previously defending against.

On August 30, 2024, the Court granted FCA's motion and disqualified Plaintiff's counsel Drake Law.

On February 7, 2025, Plaintiff filed a substitution of attorney indicating that Drake Law Firm was substituting out and that Plaintiff's new counsel was Richard M. Wirtz of Wirtz Law, APC.

On February 21, 2025, default was entered against Hunter.

On March 27, 2025, Plaintiff filed a Notice of Settlement of the Entire Case.

On June 9, 2025, Plaintiff filed a Memorandum of Costs.

On June 9, 2025, dismissal of the case with prejudice was entered as to Hunter.

On November 13, 2025, dismissal was entered as to the entire action without prejudice and with the Court retaining jurisdiction pursuant to Code of Civil Procedure section 664.6.

On May 5, 2026, Plaintiff filed the present motion for attorney's fees, costs, and expenses.

On August 12, 2026, FCA (hereinafter Defendant) filed its opposition.

On August 18, 2026, Plaintiff filed a reply.

II. Evidentiary Objections

Plaintiff's Evidentiary Objections – Plaintiff objects to a number of statements and exhibits contained in and attached to the Declaration of Michael J. Gregg, including comparative work done by Wirtz Law on similar cases and unpublished orders from various courts regarding reasonableness of hourly rates of billing attorneys in Song-Beverly Actions.

Plaintiffs objections are OVERRULED. (See *Tidrick v. FCA US LLC* (2025) 112 Cal.App.5th 1147, 1157 [“The reasonable hourly rate is that prevailing in the community for similar work,” not rates deemed reasonable for the particular firm requesting fees.])

III. Legal Standard

Standard for Motion for Attorney's Fees, Costs, and Expenses – Under Civil Code section 1794, subdivision (d), the prevailing buyer under the Song-Beverly Consumer Warranty Act is entitled to fees that were reasonably incurred: “If the buyer prevails under this section, the buyer shall be allowed by the Court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney’s fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” (Civ. Code, § 1794, subd. (d).) The trial court has an obligation to award only those attorneys’ fees that are reasonable. (See *PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095-96; see also *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) A prevailing party includes the party with a net monetary recovery in settlement of the case. (Code Civ. Proc., § 1032, subd. (a)(4).)

The lodestar method is the primary method for determining a reasonable attorney fee award under section 1794, subdivision (d). (*Robertson v. Fleetwood Travel Trailers of California, Inc.* (2006) 144 Cal.App.4th 785, 818-19.) “A trial court assessing attorney fees begins with a touchstone or lodestar figure, based on the careful compilation of the time spent and reasonable hourly compensation of each attorney involved in the presentation of the case.” (*Christian Research Institute v. Alnor* (2008) 165 Cal.App.4th 1315, 1321 [internal quotations omitted]. “The reasonableness of attorney fees is within the discretion of the trial court, to be determined from a consideration of such factors as the nature of the litigation, the complexity of the issues, the experience and expertise of counsel and the amount of time involved. [Citation.] The court may also consider whether the amount requested is based upon unnecessary or duplicative work.” (*Wilkerson v. Sullivan* (2002) 99 Cal.App.4th 443, 448 (citations omitted).) “The basis for the trial court’s calculation must be the actual hours counsel has devoted to the case, less those that result from inefficient or duplicative use of time.” (*Horsford v. Board of Trustees Of California State University* (2005) 132 Cal.App.4th 359, 395.) “The law is clear, however, that an award of attorney fees may be based on counsel’s declarations, without production of detailed time records.” (*Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1375.)

In setting the hourly rate for an attorney fees award, courts are entitled to consider the rate of “fees customarily charged by that attorney and others in the community for similar work.” (*Bihun v. AT&T Information Systems, Inc.* (1993) 13 Cal. App. 4th 976, 997 [affirming rate of \$450 per hour], overruled on other grounds by *Lakin v. Watkins Associated Indus.* (1993) 6 Cal. 4th 644, 664; see also *Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009 [“[R]ate determinations in other cases, particularly those setting a rate for the plaintiffs’ attorney, are satisfactory evidence of the prevailing market rate.”].)

IV. Discussion

Application – Plaintiff requests an order for attorney’s fees, costs, and expenses amounting to \$60,615.98 pursuant to a signed settlement offer, the Song-Beverly Consumer Warranty Act, California Civil Code section 1794, subdivision (d), and calculated using the lodestar formula. (Motion, p. 1:3-15.) This total is comprised of (1) \$27,270.50 for attorney’s fees, (2) \$13,635.25 for an enhancement of attorney’s fees by a multiplier of 1.5, (3) \$7,049.70 for costs and expenses incurred by Wirtz Law (WL), and (4) \$12,660.53 for costs and expenses incurred by Drake Law Firm (DLF). (Motion, p. 1:16-2:2.)

a. Entitlement to Attorney’s Fees, Costs, and Expenses

Here, there is no dispute that Plaintiff is the prevailing party to this litigation and is entitled to recover reasonable attorney’s fees, costs, and expenses. The 998 Offer establishes that Plaintiff accepted the offer, which states, in relevant part, “FCA US offers to pay reasonable costs, expenses and attorneys’ fees based on actual time expended pursuant to Civil Code section 1794(d), determined by the court to have been reasonably incurred by Plaintiff in connection with the commencement and prosecution of this action. If a motion is necessary and for purposes of such motion only, Plaintiff may be deemed the prevailing party such that Plaintiff may move the court for an award of reasonable attorneys’ fees and costs under the statute, but FCA US retains all rights defenses and legal challenges to said claim for attorneys’ fees and costs and does not waive any objection or challenge to the reasonableness of the hourly rate or number of hours claimed by Plaintiff’s counsel. FCA US shall not object to the timing of filing the motion for attorney fees at the same time as the filing of a memorandum of cost in one consolidated motion rather than by filing a separate cost memorandum. Defendants waive any deadline for filing of Plaintiffs’ memorandum(a) of costs and motion for attorneys’ fees, costs, and expenses.” (Wirtz Decl., Ex. 7, ¶ 3.) The 998 Offer is signed by Jessica Underwood, attorney for Plaintiff, and dated March 26, 2025. (Wirtz Decl., Ex. 7, p. 4:12-18.)

b. Recovery of Fees and Costs for Drake Law Firm

Plaintiff was represented by two law firms in this case: (1) Drake Law Firm (DLF) and (2) Wirtz Law (WL). (Motion, p. 1:13-17.) DLF initiated the case and continued working as counsel of record until, and according to DLF’s billing statements, after DLF was disqualified as Plaintiff’s counsel on August 30, 2024 for failing to implement a proper screening process upon employment of attorney Logan Hensley, after which WL was associated as Plaintiff’s counsel on February 7, 2025.

Plaintiff’s motion for attorney’s fees and costs seeks \$9,185.50 in attorney’s fees for 28.20 hours litigating this matter and \$12,660.53 in expenses, for a total amount of \$21,846.03, incurred by DLF both before and after disqualification, including a \$12,000 cost for filing a writ of appeal regarding the order disqualifying DLF as counsel, which was filed in October 2024 and denied a week later. (Yousef Decl., ¶ 3; Wirtz Reply Decl., ¶ 9.)

Plaintiff’s motion is silent on the issue of whether DLF is entitled to any attorney’s fees or cost reimbursement in light of their disqualification as counsel on breach of ethics or professional responsibility grounds. However, in opposition, Defendant argues that DLF should be denied any recovery of fees and costs in this matter because its disqualification was the direct result of its own failure to comply with fundamental ethical obligations. (Opp., p. 5:13-15.) Specifically, Defendant notes that DLF was disqualified because it chose to permit Mr. Hensley to begin working on FCA matters only four days after he left RoseWaldorf, where he represented FCA, as a result of DLF’s failure to implement timely and effective ethical screening practices. (Opp., p. 5:15-19.) Defendant argues that because fee awards are equitable in nature, DLF should not be compensated considering its own misconduct necessitated its disqualification, deprived Plaintiff of continued representation, disrupted the litigation process, and increased costs. (Opp., p. 5:20-25.)

On reply, Plaintiff argues that DLF should be awarded its attorneys’ fees and costs incurred in this action because Defendant failed to provide authority in support of its proposition, that the attorney’s fees and costs at issue here are not equitable in nature as they are mandated by Civil Code section 1794(d), and that DLF does not seek fees for time billed by Mr. Hensley, who was the subject of the disqualification motion. (Reply, p. 4:1-9, 5:7-15.)

California courts have already answered the question of whether an attorney or firm is entitled to recover fees and costs incurred where the representation constituted a breach of ethical or professional responsibilities, or resulted in disqualification due to a conflict of interest. The answer, generally, is no.

"It is settled in California that an attorney may not recover for services rendered if those services are rendered in contradiction to the requirements of professional responsibility." (Goldstein v. Lees (1975) 46 Cal. App. 3d 614, 618.) "Contracts to render such services even if not tainted with actual fraud have been held to be 'clearly against public policy and void.'" (Ibid.) In Goldstein, the Appellate Court reversed a judgment entered in favor of attorneys in their action to recover legal fees from their former clients where the attorneys were former counsel to a corporation and later rendered legal services on behalf of a minority shareholder and director in a proxy fight, as their contract for legal services presented a conflict of interest in violation of the rules of professional responsibility and ethics and was thus void and illegal. (Id at 623-24.)

In A.I. Credit Corp., Inc. v. Aguilar & Sebastinelli (2003) 113 Cal.App.4th 1072, where the trial court found grounds for disqualification based on a conflict of interest in representation, even absent an explicit finding of violation of a particular rule of ethics or professional responsibility, the Appellate Court affirmed summary judgment denying entitlement of fees and costs for representation. (Id at 1078, 1081.) The Court reiterated that "[t]he general rule is that an attorney disqualified for violating an ethical obligation is not entitled to fees." (Id at 1079; see also Cal Pak Delivery Inc. v. United Parcel Service, Inc. (1997) 52 Cal.App.4th 1, 14, 16 ["It is the general rule in conflict of interest cases that where an attorney violates his or her ethical duties to the client, the attorney is not entitled to a fee for his or her services."].)

This general rule that an attorney or firm representing a client in direct conflict with a former client precludes recovery of fees and costs is a longstanding and clear rule that this Court finds applies in the present case. (See Asbestos Claims Facility v. Berry & Berry (1990) 219 Cal.App.3d 9, 27 ["the attorney's claim for fees may not be allowed if it is established that he or she undertook the representation of conflicting interests without the written consent of both parties."]; Jeffry v. Pounds (1977) 67 Cal.App.3d 6, 9 ["acts of impropriety inconsistent with the character of the legal profession and incompatible with the faithful discharge of professional duties will prevent an attorney from recovering for his services"]; Clark v. Millsap (1926) 197 Cal. 765, 785 ["Fraud or unfairness on the part of the attorney will prevent him from recovering for services rendered; as will acts in violation or excess of authority, and acts of impropriety inconsistent with the character of the profession, and incompatible with the faithful discharge of its duties."]; Day v. Rosenthal (1985) 170 Cal.App.3d 1125, 1162 ["conflicts of interest rendered [attorney's] services valueless and required no finding on the reasonable value of his fees."]; Conservatorship of Chilton (1970) 8 Cal.App.3d 34, 43 ["Because [counsel] had a conflict of interest and rendered no services of value to [the client] or her estate, the trial court did not err in refusing to make findings on the value of the particular services which [attorney] claims to have rendered."].)

Here, the Court disqualified DLF on the following grounds:

It is well established that an attorney, after severing his or her relationship with a client, "may not do anything which will injuriously affect his former client in any matter in which he formerly represented him nor may he at any time use against his former client knowledge or information acquired by virtue of the previous relationship." (Wutchumna Water Co. v. Bailey (1932) 216 Cal. 564, 573–574 [15 P.2d 505]; accord, People ex rel. Deukmejian v. Brown (1981) 29 Cal.3d 150, 155 [172 Cal. Rptr. 478, 624 P.2d 1206]; Fiduciary Trust Internat. of California v. Superior Court (2013) 218 Cal.App.4th 465, 485 [160 Cal. Rptr. 3d 216].) This prohibition is grounded in both the California State Bar Rules of Professional Conduct, former rule 3-310(E) in effect until November 1, 2018, and rule 1.9, effective November 1, 2018, and governing case law. (See City National Bank v. Adams (2002) 96 Cal.App.4th 315, 323–324 [117 Cal. Rptr. 2d 125].)

...

While Hensley attempts to argue that he should not be disqualified because he did not perform substantive work for FCA, this does not negate (1) that successive representation occurred in which Hensley now represents a client with an interest adverse to FCA, a former client of Hensley's, on a substantially related subject matter which may encompass legal services performed by Hensley for at RoseWaldorf during representation of FCA []; (2) that Hensley switched firms within a period of four days; and (3) Hensley concedes he drafted documents for FCA including Answers [], defended [sic] a deposition of FCA

[], attended vehicle inspections for RoseWaldorf without addressing whether the vehicle inspection(s) are applicable to this case [].

...

The larger issue within this motion is whether Drake Law should be disqualified in its entirety due to Hensley's status. Under the doctrine of vicarious disqualification, the answer is yes. The legal standard provides that this doctrine may be refuted by evidence that ethical screening will effectively prevent the sharing of confidences in a particular case. However, this is not what Drake Law provides. Drake Law provides the following timeline: (1) Hensley worked on previous FCA cases as of December 16, 2022 []; (2) in May 2023, Hensley informed RoseWaldorf that he was not happy with compensation and a dispute ensued []; (3) no date is provided for when Hensley began work with Drake Law; (4) on May 15, 2024, Clarence Serrano ("Serrano"), a paralegal at Drake Law, was instructed that Hensley was prohibited from accessing communications related to cases involving FCA and included Hensley via carbon copying in an email thread for the case of Michael Brancato v FCA US LLC []; (5) sometime later Serrano realized he carbon copied Hensley in the aforementioned email and informed his superiors at Drake Law []; (6) only after this error and notification to superiors was Serrano tasked with ensuring a proper and timely screening process was established for Hensley []; and on July 02, 2024, approximately two months after the email error and an unknown time after Hensley began practicing at Drake law, Serrano notified FCA of Hensley's employment []. That is, Drake Law admits that a proper screening process was not in place upon Hensley's employment. As such, the presumption that knowledge of a client's confidences should be imputed to all members of a tainted attorney's law firm.

(Ruling on Submitted Matter, 08/30/2024, emphasis added.)

This Court, therefore, disqualified DLF for a fundamental violation of ethical and professional responsibility obligations owed FCA, and as a result, the clear case law guides the Court in its finding that DLF is generally not entitled to attorney's fees and costs incurred in representation of Plaintiff, particularly so in light of the fact that DLF seeks to recover substantial fees and costs incurred after it was already disqualified from representing Plaintiff.

Plaintiff relies on *Pringle v. La Chapell* (1999) 73 Cal.App.4th 1000, 1006-07 to support their argument that violation of Rule 1.9 does not necessarily preclude recovery of fees. While *Pringle* did so hold, ultimately, the Court affirmed the judgment denying a client's motions for judgment notwithstanding the verdict and a new trial following a jury's finding that the client had given informed written consent to allow counsel to represent multiple clients where the interests of each client conflicted and awarding attorney's fees to the attorney, because the Court could not determine on the record presented "if the purported violation of the rules was serious, if any act was inconsistent with the character of the profession, or if there was an irreconcilable conflict." (*Pringle*, supra, 73 Cal.App.4th at 1003, 1006.) Here, after review of briefing and oral argument, the Court determined that there was an irreconcilable conflict disqualifying not just Mr. Hensley, but DLF as a whole for its failure to implement ethically necessary screening practices, and thus, this case is factually distinguishable from *Pringle*.

However, in *Jeffry*, the Court agreed that attorneys who breach of rules of professional conduct that prohibit an attorney from representing conflicting interests is not entitled to recovery for services rendered after the breach of professional conduct, but in such instances, the attorneys nonetheless "are entitled to compensation for the services supplied preceding the breach of professional conduct." (*Jeffry*, supra, 67 Cal.App.3d at 12 (emphasis added).) The Court adopts this approach, and DLF is therefore permitted to recover for fees and costs incurred and services rendered prior to association of Mr. Hensley with DLF.

Here, Defense attorney Michael J. Gregg asserts that Mr. Hensley was employed by RoseWaldorf at the time the present lawsuit was filed, but provided notice that he was leaving RoseWaldorf on April 30, 2024 and that his final day with the firm would be on May 10, 2024. (Gregg Decl., ¶¶ 6, 8.) Four business days later, on May 16, 2024, Mr. Hensley began his employment with DLF, and on the same date, Defense counsel received an email from DLF regarding an FCA matter with Hensley included as part of Plaintiff's counsel's team. (Gregg Decl., ¶ 10.) DLF does not dispute that as of May 16, 2024, Mr. Hensley was working for DLF and was copied on emails regarding his former client FCA. (Reply, p. 5:10-11.)

Therefore, the Court will accept this date as the commencement of the breach of professional conduct in failing to establish a proper, ethical screening process in violation of California Rules of Professional Conduct Rules 1.10 and 1.9, and DLF may

only recover reasonable fees and costs actually incurred before May 16, 2024.

c. Reasonableness of Attorney's Fees Amount

As discussed, the standard method for calculating reasonable attorney's fees is the lodestar method, which determines recoverable fees by multiplying the reasonable hourly rate of the attorneys by the reasonable number of hours billed for the work performed.

i. Reasonableness of Attorneys' Hourly Rates

Plaintiffs argue that their counsel's rates are reasonable. The reasonableness of Plaintiffs' counsels' hourly rates will be determined by comparing rates accepted within the community for similar legal services.

The Declaration of Richard M. Wirtz sets forth the biographies and hourly rates of five WL timekeepers who worked on the present case. Their roles, hourly rates, and identifying billing codes are as follows:

1. Amy R. Rotman (ARR), senior trial attorney, admitted to California State Bar in 2012, \$600/hr.
2. Jessica R. Underwood (JRU), senior trial attorney, admitted to California State Bar in 2015, \$600/hr.
3. Susanna Gonzales-McCaulley (SG), associate attorney, admitted to California State Bar in 2023, \$450/hr.
4. Rebecca Evans (REE), senior managing paralegal, not licensed to practice, \$300/hr.
5. Dalia Zaki (DZ), paralegal, not licensed to practice, \$250/hr.

(Wirtz Decl., ¶¶ 16-20.)

The Declaration of Ahmed Yousef of DLF sets forth his own experience and hourly rate as follows:

1. Ahmed Yousef, associate attorney, admitted to California State Bar in 2023, \$500/hr.

(Yousef Decl., ¶ 14.)

While other DLF timekeepers billed in the present case, DLF offers no background information, experience, hourly rates, or justification for the rates. It is also unclear from the billing statements provided by DLF whether the timekeepers who worked on this case are attorneys, paralegals, or have any management, trial, or supervisory responsibilities to justify their rates. However, after a review of the billing statements, and given the Court's experience with Song-Beverly actions and typical rates billed, the Court infers the following job titles regarding DLF timekeepers who worked on this case until May 16, 2024:

1. Kamau Edwards, attorney, \$500/hr.

2. Jacob Shay, paralegal, \$225/hr.

3. Clarence Serrano, paralegal, \$200/hr.

4. Jennifer Romo, paralegal, \$200/hr.

(Yousef Decl., Ex. C.)

Defendant argues that the hourly rates billed by WL are excessive and unsupported, and should be reduced to \$400/hr for Ms. Rotman and Ms. Underwood, \$350/hr. for Ms. Gonzales-McCaulley, and \$150/hr. for billing paralegals. (Opp., p. 7:2, 26-8:4.) Both WL and Defendant have provided ample case law supporting their position regarding the reasonableness of the requested rates.

As to Ms. Rotman, Wirtz declares that she is a senior trial attorney and has supervisory roles in two departments at WL. (Wirtz Decl., ¶ 16.) Because of Ms. Rotman's trial and supervisory responsibilities, the Court is persuaded that her higher rate is justified in this case. Because of Ms. Rotman's unique situation as senior trial attorney and supervisor of two different departments, the approval of this rate would not in most cases serve as a benchmark for rates charged by other senior trial attorneys in other representations.

As to Ms. Underwood, Wirtz states that she has similar experience as a senior trial attorney to Ms. Rotman, but notes no supervisory or management responsibilities. (Wirtz Decl., ¶ 17.) The Court notes that although Ms. Underwood has worked on cases from inception through trial or settlement, served as second and third chair in several trials, taken and defended numerous depositions, and represented clients in mandatory settlement conferences and mediations, these are generally typical responsibilities of any attorney, and absent any supervision, management, or other similar responsibilities, the Court does not find it reasonable that her rate is the same as Ms. Rotman, who has three more years of experience as a practicing and supervisory attorney. Therefore, Ms. Underwood's rate is reduced to \$500/hr., which, in the Court's experience, is typical of attorneys with similar experience to Ms. Underwood.

The Court finds Ms. Gonzales-McCaulley's rate of \$450/hr. is also high, given that she joined the firm on May 16, 2024 with no prior experience in Song-Beverly actions and was admitted to practice in 2023. (Wirtz Decl., ¶ 20.) Therefore, the Court reduces Ms. Gonzales-McCaulley's hourly rate to \$350/hr., which is typical of rates for attorneys with similar experience in Song-Beverly actions.

The Court also agrees that \$300/hr. for Ms. Evans, a senior paralegal with experience since 2015, and \$250/hr. for Ms. Zaki, a paralegal since 2023, are unreasonably high. Ms. Zaki's rate is reduced to \$150/hr., which is standard for paralegals in Song-Beverly actions and other civil litigation. Given Ms. Evans' supervisory and management responsibilities, along with her eleven years of experience as a paralegal in civil litigation, the Court finds a higher hourly rate is warranted, and reduces Ms. Evans' hourly rate to \$200/hr.

While Defendant argues DLF should not be entitled to any fees and that the hours billed are unreasonable, Defendant does not argue that the rates charged by DLF are unreasonable or warrant reduction. Therefore, the Court accepts the rates as requested. This ruling should not be construed by any other court that this Court has found, after a disputed adjudication, that DLF's rates are reasonable.

ii. Reasonableness of Hours Billed

Plaintiffs' counsel argues they reasonably spent 76 hours in prosecuting this action between two law firms from inception through settlement including the actually-incurred fees in bringing the present fee motion, consisting of 49.6 hours billed by WL and 26.4 hours billed by DLF. (Wirtz Reply Decl., Ex. 10; Yousef Decl., Ex. C.)

In opposition, Defendant objects to DLF's recovery of any fees and specific time entries billed by DLF and WL. (Opp., p. 6:3-24, 8:6-21.)

The prevailing party has the burden of showing that the requested attorney fees were "reasonably necessary to the conduct of the litigation, and were reasonable in amount." (Robertson, supra, 144 Cal.App.4th at 817.) The party seeking attorney fees "is not necessarily entitled to compensation for the value of attorney services according to [his] own notion or to the full extent claimed by [him]." (Levy v. Toyota Motor Sales, USA, Inc. (1992) 4 Cal.App.4th 807, 816.) Therefore, if the "time expended or the monetary charge being made for the time expended are not reasonable under all the circumstances, then the court must take this into account and award attorney fees in a lesser amount." (Nightingale v. Hyundai Motor America (1994) 31 Cal.App.4th 99, 104.)

The detailed billing records Plaintiffs have submitted to validate the billed hours for which Plaintiffs request reimbursement "are entitled to credence in the absence of a clear indication the records are erroneous." (Horsford, supra, 132 Cal.App.4th at p. 396.) On presentation of a detailed fee bill, accompanied by a sworn affidavit as to the accuracy of the fee bill, the bill is presumed credible, and the court must use these records as a starting point for its lodestar determination. (Id at 396-97.)

DLF's Billing Statements

As discussed above, DLF is not entitled to recover fees incurred in representing Plaintiff on or after May 16, 2024. Thus, the Court preemptively strikes 22.5 hours from DLF's billing statements. DLF may recover for, at most, the 3.9 hours of work billed for work done from February 6, 2024 through April 5, 2024.

Defendant specifically objects to the following charges from DLF incurred prior to May 16, 2024 and requests the specified reduction:

1. Drafting of Complaint – 1.1 hour (\$550) billed on February 6, 2024, 0.4 hours (\$90) billed on February 16, 2024, 0.3 hours (\$150) billed on February 19, 2024, and 0.5 hours (\$100) billed on February 21, 2024 – reduce by 2.0 hours (\$820). (Opp., p. 6:20-24.)

Here, the Court finds most of DLF's billing is facially unreasonable. From February 6, 2024 through April 5, 2024, DLF billed a total of 3.9 hours of work, including drafting the complaint and correspondence with Plaintiff. However, a vast majority of the billing entries submitted by DLF are for receipt of invoices and updating the case in DLF's internal system.

These charges as secretarial or clerical in nature, and notes that some of these entries do not constitute substantive legal work. While calendaring dates, properly recording and saving client files and Court documents, and coordinating appearances by counsel are important and necessary tasks in litigation, these tasks are secretarial in nature and do not warrant attorney, or even paralegal, billing. As the United States Supreme Court has held: "Of course, purely clerical or secretarial tasks should not be billed at a paralegal rate, regardless of who performs them. What the court in Johnson v. Georgia Highway Express, Inc., 488 F. 2d 714, 717 (1974), said in regard to the work of attorneys is applicable by analogy to paralegals: 'It is appropriate to distinguish between legal work, in the strict sense, and investigation, clerical work, compilation of facts and statistics and other work which can often be accomplished by non-lawyers but which a lawyer may do because he has no other help available. Such non-legal work may command a lesser rate. Its dollar value is not enhanced just because a lawyer does it.'" (Missouri v. Jenkins (1989) 491 U.S. 274, 288 n.10.) Thus, while the Court finds the time spent on this task to be reasonable absent evidence to the contrary, billing these tasks as attorney or paralegal fees is unwarranted.

The Court strikes 1.2 hours of work, totaling \$240, billed by Mr. Serrano for "Receipt and review of" documents from One Legal and "case updated".

While reliance on templated drafts is common and can significantly reduce an attorney's work, counsel is still expected to review these templates and modify them accordingly, considering the specific legal issues raised, the facts of the case, and conducting further research where necessary. However, having reviewed the conformed complaint, the Court finds that the fees billed by three separate timekeepers for drafting, reviewing, revising, and filing the complaint should be reduced by 1.3 hours, for a reduction of \$590. DLF may recover \$500 for one hour of drafting the complaint.

Therefore, as to DLF, the Court finds that DLF may recover \$520 for 1.1 hours of work for drafting the complaint and sending one email to their client. No other substantive legal work was done on this case during the appropriate time period and all other billing entries are facially clerical and unrecoverable.

WL's Billing Statements

Defendant specifically objects to the following charges from WL and requests the specified reduction:

1. Time Spent on Present Fee Motion – 1.9 hours (\$1,050) for drafting the fee motion and 5.2 hours (\$2,910) anticipated for drafting a reply and attending the hearing – strike all anticipated time and reduce fee drafting by 0.9 hours (\$540). (Opp., p. 8:6-12.)

From January 30, 2025 through October 26, 2026 (including anticipated fees), WL billed for a total of 49.6 hours, including work for drafting pleading and proprietary documentation, drafting expert and other discovery demands, drafting deposition subpoenas, communication with opposing counsel, client communication, preparing for and attending depositions, preparation of motions in limine in advance of trial, review of settlement offer and correspondence related thereto, trial preparation, and post-settlement work including vehicle surrender, settlement funds, and drafting the request for dismissal, notice of settlement, and present fee motion. (Wirtz Reply Decl., Ex. 10.) Wirtz's reply Declaration includes an updated billing statement which states that Ms. Rotman spent 0.5 hours reviewing Defendant's opposition to the present motion and spent 2.5 hours drafting the reply. (Wirtz Reply Decl., Ex. C.)

The Court finds much of WL's billing reasonable, but again finds that many of the billing entries are clerical in nature, and thus warrant a reduction or shall be stricken altogether. Therefore, the Court strikes 3.6 hours, totaling \$1,080, for review of documents, formatting, auditing, filing, and service.

The Court finds the time spent drafting the present motion, reviewing Defendant's opposition, and drafting a reply to be reasonable. The Court reduces the anticipated time spent at the hearing on this motion from 1.5 hours (\$900) to 1.0 hour (\$600) for a reduction of \$300.

Accordingly, aside from the entries specifically identified above as being reduced or stricken entirely, the Court finds these billing entries reasonable and necessarily incurred in litigation absent evidence from Defendant to the contrary.

Therefore, WL may recover for 11.8 hours of work at \$350/hr. (\$4,130) for Ms. Gonzales-McCaulley, 7.1 hours of work at \$600/hr. for Ms. Rotman (\$4,260), 8.9 hours of work at \$500/hr. for Ms. Underwood (\$4,450), 1.5 hours of work at \$200/hr. for Ms. Evans (\$300), and 5.5 hours of work at \$150/hr. (\$825) for Ms. Zaki.

iii. Lodestar Calculation

Based on the foregoing, the Court calculates the amount of reasonable attorney's fees Plaintiff is entitled to recover by multiplying the number of reasonably billed hours for work on this case by the reasonable hourly rate of the billing attorneys.

Accordingly, Plaintiff is entitled to recover \$14,485 in reasonably incurred attorney's fees, (\$13,965 for 45.5 hours from WL and \$520 for 1.1 hours from DLF at the reduced and approved hourly rates).

d. Fee Multiplier

Plaintiff requests a fee multiplier of 1.5 for an additional \$13,635.25 to the lodestar amount given the risks undertaken for the contingency-based representation and the delay in payment. (Motion, p. 8:10, 9:7-10.)

Once the Court has determined an appropriate lodestar figure, the court may then determine whether that figure should be adjusted with a positive or negative multiplier. (*Graham v. DaimlerChrysler Corp.*, (2005) 34 Cal.4th 553, 582.) Whether a multiplier or negative multiple is appropriate depends on several factors, including (1) the risks presented by the litigation; (2) the novelty and difficulty of the legal and factual issues involved; (3) the results obtained on behalf of the plaintiff; (4) the skill exhibited by counsel; (5) the extent to which the nature of the litigation precluded other employment by the attorneys; and (6) the contingent nature of the fee award based on the uncertainty of prevailing on the merits and of establishing eligibility for the award. (*Consumer Privacy Cases*, (2009) 175 Cal.App.4th 545, 556; *Robertson*, supra, 144 Cal.App.4th at 819.) "The 'results obtained' factor can properly be used to enhance a lodestar calculation where [1] an exceptional effort produced [2] an exceptional benefit." (*Graham* supra, 34 Cal.4th at 582.)

Defendant opposes, arguing that Plaintiff's counsel's fees were improperly inflated by overbilling and claiming of fees that are otherwise unwarranted or inappropriate, and presented no issues beyond the standard filings, discovery, issues, and effort raised in all other Song-Beverly actions, no novel, unique, or difficult law was raised in this action, and argues the Court should impose a negative multiplier. (Opp., p. 9:6-18.)

The Court finds that a multiplier is not warranted in this case. While Plaintiff received a favorable result in settlement, and while Plaintiff's counsel took this case on contingency, this is a standard Song-Beverly action. While the Court acknowledges that there is inherent risk in taking a case on contingency, the Court finds the risk in this action to be minimal considering a prevailing buyer in a Song-Beverly action is legally entitled to recovery of all reasonable and necessary attorney's fees, costs, and expenses incurred pursuant to Code of Civil Procedure section 1794, subdivision (d). Based on the relatively sparse record, and the moving and opposition papers filed for the present motion, the Court does not find the novelty or difficulty of the legal and factual issues involved, nor the skill required of Plaintiffs' counsel in this case, rising to the level of warranting a multiplier. Furthermore, there is no evidence presented that this case precluded Plaintiffs' counsel from taking on other employment.

Finally, as to delay in payment, WL substituted in as counsel on February 7, 2025, the case was settled on March 27, 2025, and WL delayed in bringing the present motion for over one year. DLF's own conduct and failure to implement the necessary ethical screening of attorneys working on cases against FCA also directly contributed to the delay in settlement and resolution of the present action. The Court fails to see how delay warrants a multiplier under these circumstances.

Accordingly, Plaintiffs' request for a fee multiplier is DENIED.

Defendant's request for a negative multiplier is also DENIED. Any inflated, unreasonable, or unrecoverable fees billed have been stricken above where appropriate.

e. Costs and Expenses

Plaintiff requests costs and expenses incurred in this matter, consisting of \$7,049.70 incurred by WL and \$12,660.53 incurred by DLF. (Motion, p. 9:13-23; Wirtz Decl., ¶ 37; Yousef Decl., ¶ 3, Ex. D.)

In opposition to Plaintiffs' request, Defendant does not object to any costs sought by WL, but objects to any recovery of costs by DLF on the grounds of its disqualification. (Opp., p. 10:10.)

"Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) "Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (Code Civ. Proc., § 1033.5, subd. (c)(2).) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary." (*Ladas v. California State Auto. Assn.* (1993) 19 Cal. App. 4th 761, 774.) "On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (*Ibid.*)

"A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. The memorandum of costs must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case." (Cal. Rules of Court, rule 3.1700(a)(1).) "Any notice of motion to strike or tax costs must be served and filed 15 days after service of the cost memorandum." (Cal. Rules of Court, rule 3.1700(b)(1).)

The Court must permit the prevailing buyer to recover such costs and expenses if reasonably incurred by the buyer in connection with the commencement and prosecution of the action. (Civ. Code, § 1794, subd. (d).) The party filing a memorandum of costs is not required to attach any supporting documents. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267.) "[A] verified memorandum of costs is prima facie evidence of the propriety of the items listed on it, and the burden is on the party challenging these costs to demonstrate that they were not reasonable or necessary." (*Bender v. County of Los Angeles* (2013) 217 Cal.App.4th 968, 989, internal citations omitted; see also *Benach v. County of Los Angeles* (2007) 149 Cal.App.4th 836, 855; *Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131-132 ["trial court erred in requiring additional proof from" the party claiming costs when party opposing costs bore the burden of proving the cost unnecessary or unreasonable]; *Santantonio v. Westinghouse Broadcasting Co.* (1994) 25 Cal.App.4th 102, 116, 121 ["where a party shows a prima facie entitlement to costs, the burden is on an objector to prove the costs should be disallowed"].) The burden is on the party opposing the memorandum to either (a) show that the request is facially improper or (b) produce some evidence to show that the request is improper. (*Bender*, supra, 217 Cal.App.4th at 989.)

Here, the burden is on Defendant to show that the costs requested are unreasonable. Defendant has not objected on the basis, or provided any evidence, that any of these fees or costs are unreasonable. While Defendant objects to DLF recovering any costs at all, as discussed above, the Court finds that DLF may recover costs incurred before the disqualifying conflict of interest arose on May 16, 2024, and DLF has provided supporting documentation to establish that the requested costs were actually and reasonably incurred.

In the absence of evidence or argument to the contrary, and because they seem facially reasonable, the Court finds that WL's request for \$7,049.70 is reasonable and recoverable.

The Court finds that DLF may recover \$548.15, consisting of the following costs:

1. \$467.55 for the filing of the complaint on February 21, 2024
2. \$19.71 for service on February 23, 2024
3. \$41.18 for service on February 27, 2024
4. \$19.71 for service on February 28, 2024

(Yousef Decl., Ex. C.)

Accordingly, Plaintiffs' request for attorney's fees, costs, and expenses incurred in prosecuting this litigation is GRANTED in the total amount of \$22,527.85, consisting of \$14,410 in attorney's fees and \$7,049.70 in costs for WL and \$520 in attorney's fees and \$548.15 in costs for DLF.

V. Conclusion

Plaintiff Efren Guzman's Motion for Attorney's Fees is GRANTED in the amount of \$22,082.85, consisting of \$13,965 in attorney's fees and \$7,049.70 in costs for WL and \$520 in attorney's fees and \$548.15 in costs for DLF.